AGARWAL & DHANDHANIA

CHARTERED ACCOUNTANTS

The bottom line.

YOUR MONTHLY NEWS REPORT

Insights that inform.
Updates that empower.



Edition 02
September 2026

TABLE OF CONTENTS

01 Month at a Glance

02 News in detail

03 Dates to remember

04 Brain break

MONTH AT A GLANCE

EXECUTIVE SUMMARY

CBDT gives audit cases 21 more days. The tax audit report for AY 2026-27 is now due 21 October 2026 and the ITR 21 November 2026. Transfer-pricing cases keep the 30 November ITR date.

SEBI rewrites the PMS rulebook. Portfolio managers can now invest in IPOs, put up to 10% of AUM in unlisted debt and use a new ₹25 lakh route (PRIM) into mutual funds.

RBI finalises Basel III market-risk rules. Commercial banks move to the Simplified Standardised Approach from 1 April 2027. Separately, Ola Financial Services was fined ₹3.10 lakh for KYC lapses.

EPF wage ceiling raised to ₹25,000. The Cabinet widened mandatory PF coverage from ₹15,000 a month, adding 51 lakh employees. Labour Code rules: 10 states done, the rest by 31 October.

Exporters win on Rule 96(10). CBIC has accepted the Supreme Court's Goodluck India ruling: the omission of Rule 96(10) from 8 October 2024 covers every IGST refund case pending on that date. Demands and stuck refunds based on the rule can now be challenged.

Subhash Chandra plan on hold. A five-member NCLT Special Bench put the ₹6.25 crore plan (against ₹22,006.57 crore of claims) on hold and gave the CBI four weeks to respond. NCLAT hears the lenders' appeal on 7 October.

SEBI settlement overhaul. Settlement can now be offered before a show-cause notice, disclosure lapses up to ₹10 lakh get a fast track, and a one-time scheme covers illiquid stock option cases. FPIs also get access to commodity index derivatives.

UPI merchant fee from 15 October. Person-to-merchant UPI payments above ₹2,000 will attract a 0.4% MDR, capped at ₹300. P2P transfers and small merchants stay free. The Supreme Court has asked the Centre to explain the levy.

Markets were under pressure as FPIs pulled ₹20,974 crore from equities and the rupee hit a record low near 96 per dollar. UPI set a volume record of 24.51 billion transactions in August, and apps now mask users' mobile numbers. The 57th GST Council meeting moves to 7 October 2026.

CBDT Extends Tax Audit and ITR Deadlines for AY 2026-27 by 21 Days

What happened: On 28 September 2026, the Central Board of Direct Taxes extended two deadlines for taxpayers whose accounts must be audited under the Income-tax Act:

- **Tax audit report (Form 3CA/3CB-3CD):** from 30 September to 21 October 2026.
- **Income-tax return for audit cases:** from 31 October to 21 November 2026.

Taxpayers with international or specified domestic transactions (Section 92E) are not covered, and their return remains due on 30 November 2026. The press release states that a formal order will follow. The extension came after sustained representations from the profession, including the #ExtendTaxAuditDueDate campaign.

Who is affected: Businesses and professionals subject to tax audit under Section 44AB, and their auditors.

Why it matters: The relief is limited to 21 days and applies only to the audit report and the linked return. Taxpayers should not assume further relief, and should confirm the position on other audit reports, such as Form 3CEB, once the formal notification is issued.

UPI Payments to Merchants Above ₹2,000 to Attract 0.4% MDR from 15 October

What happened: On 15 September 2026, NPCI and the Department of Financial Services announced a Merchant Discount Rate (MDR) on select person-to-merchant (P2M) UPI payments, effective 15 October 2026. The rates and caps are set by the UPI and Services Steering Committee, headed by NPCI, under RBI oversight.

Key features:

- **Standard rate:** 0.4% on P2M payments above ₹2,000, capped at ₹300 per transaction (reached at ₹75,000).
- **No charge:** payments of ₹2,000 or less, all person-to-person transfers, UPI AutoPay mandates, and small merchants receiving up to ₹1 lakh a month through UPI QR.
- **Special categories:** a flat ₹5 per transaction for railways, telecom, insurance, fuel, utilities and education; 0.02% (capped at ₹300) for capital-market payments.
- **Consumers:** merchants must bear the MDR and cannot pass it on to customers.

Why the fee: UPI's operating cost is estimated at about ₹20,000 crore a year, while the government incentive for FY2026-27 is ₹2,000 crore. The MDR collected will fund a digital infrastructure pool for Tier 3–6 centres, the North-East, J&K; and Ladakh.

Legal challenge: On 28 September 2026, the Supreme Court asked the Centre, RBI and NPCI to file an affidavit explaining the basis for the charge, asking whether it is "a tax or a fee". It did not stay the levy, which remains scheduled for 15 October.

Who is affected: Larger merchants, e-commerce and service businesses, and their payment aggregators.

Why it matters: Businesses accepting high-value UPI payments should budget for the fee, review payment terms and pricing, and account for GST on the MDR invoiced by their banks.

UPI Hits Record 24.51 Billion Transactions in August

What happened: NPCI data show UPI processed a record 24.51 billion transactions in August 2026, up 3.6% from July and 22% from a year earlier, an average of about 791 million a day. The value of transactions was ₹29.82 lakh crore, marginally lower (0.2%) than July; the value record of ₹29.9 lakh crore set in May 2026 still stands.

Why it matters: Volumes are rising faster than values, showing that growth is coming from smaller, everyday payments. This is the base on which the new merchant fee will be levied from 15 October.

UPI Apps Now Mask Mobile Numbers; Username-Based UPI IDs Become Default

What happened: Under an NPCI circular, banks and UPI apps had to start masking users' mobile numbers from 4 September 2026. Only the last four digits are now shown to the other party on payment screens, receipts, transaction history and QR payments; account numbers and UPI IDs are masked in the same way. Apps must also offer a username-based UPI ID (a chosen name with the bank handle) as the default, instead of a phone-number-based ID.

Why it matters: The change responds to complaints, particularly from women, of payees misusing visible phone numbers, and aligns UPI with the data-minimisation principles of the Digital Personal Data Protection Act. Businesses that identify customers by the number shown in UPI records will need another way to do so.

Traders Push Back Against UPI Merchant Fee

What happened: On 25 September 2026, the Chamber of Trade and Industry urged the Finance Minister to roll back the MDR before 15 October, saying about 6 crore shopkeepers and traders would be affected and that UPI payments above ₹2,000 could fall by half. Local trader groups in Madhya Pradesh held protests on 23 September. The Confederation of All India Traders (CAIT) has denied calling a nationwide "No UPI Day" on 2 October, and payment aggregators are separately seeking a fixed, direct share of the MDR.

Why it matters: With a Supreme Court challenge pending and trade bodies lobbying, the final shape of the fee could still change. Businesses should prepare for 15 October but watch for further clarifications.

RBI Finalises Basel III Market-Risk Capital Directions, Effective 1 April 2027

What happened: On 21 September 2026, the Reserve Bank of India issued final directions on minimum capital requirements for market risk, aligned with the revised Basel III standards. Commercial banks will use the Simplified Standardised Approach.

Key changes include:

- Standalone trading-book definitions are dropped; the directions refer to the existing investment-classification guidelines instead.
- Interest-rate risk tables are revised to match the Basel Committee's standards.
- Capital on debt mutual funds and ETFs held in the trading book is tied to their underlying risk factors.
- New provisions cover net open positions, foreign-exchange risk charges and credit-derivative hedges, including total return swaps.

Who is affected: Commercial banks.

Why it matters: Banks have about six months to update market-risk systems, treasury limits and capital planning before the framework takes effect.

RBI to Reopen Urban Co-operative Bank Licensing After About 20 Years

What happened: The Reserve Bank of India plans to issue fresh licences for Urban Co-operative Banks, open only to multi-state credit co-operative societies that meet all of the following conditions:

- at least 10 years of operations;
- deposits of at least ₹10,000 crore and net worth of at least ₹300 crore;
- a capital adequacy ratio (CRAR) of 12% or more, and NPAs of 3% or less.

Applicants who are rejected cannot reapply for three years.

Why it matters: Only large, well-capitalised societies can convert into banks, which keeps the sector's recent supervisory tightening in place.

RBI Penalises Ola Financial Services; Co-operative Bank Restrictions Extended

What happened: On 24 September 2026, the Reserve Bank of India imposed a penalty of ₹3.10 lakh on Ola Financial Services Private Limited for not complying with its Know Your Customer (KYC) directions. The penalty follows a statutory inspection covering January to November 2025 and was imposed under Section 30(1) read with Section 26(6) of the Payment and Settlement Systems Act, 2007.

Separately, RBI extended its restrictions on U.P. Civil Secretariat Primary Co-operative Bank, Lucknow, first imposed on 11 March 2026, by three months to 11 December 2026. RBI clarified that the extension does not mean it is satisfied with the bank's financial position.

Why it matters: KYC enforcement now reaches payment-system operators, not only banks and NBFCs, and supervisory pressure on weak co-operative banks is continuing.

RBI Policy Preview: MPC Meets 5–7 October

What happened: The RBI's Monetary Policy Committee will hold its fourth meeting of FY2026-27 on 5–7 October 2026. At its August meeting, the Committee kept the repo rate at 5.25% with a neutral stance, raised the FY27 growth forecast to 6.7% and projected inflation at 5.0%.

What to expect: With August CPI inflation at 4.82%, crude oil above $100 a barrel and the rupee at a record low, most economists expect the repo rate to be held. Any change in stance or liquidity measures will matter for loan and deposit pricing.

New Bulk Deposit Disclosure Rules Apply from 1 October

What happened: Under RBI's Second Amendment Directions on deposit interest rates, from 1 October 2026 banks must publish their bulk deposit rates on their websites by 10 am every working day. For scheduled commercial banks, a single rupee term deposit of ₹3 crore or more is a bulk deposit, and similar bulk deposits accepted on the same day must carry the same rate across branches for customers in the same category.

Why it matters: Corporate treasuries and trusts placing large deposits can compare rates daily. Retail depositors are largely unaffected.

Banking in Numbers

- Banks collected about ₹7,100 crore in minimum-balance penalties in FY26: ₹4,948 crore by private banks and ₹2,137 crore by public sector banks.
- Insured deposits fell to 39.7% of total assessable deposits in FY26, from 41.5% in FY25.

Other RBI Circulars in September

- **Priority sector lending (11 September):** the cut-off date for the ANBC exemption was revised to 31 August 2026.
- **Local Area Banks (11 September):** CRR and SLR directions were amended.
- **FEMA (8 September):** seven inoperative FEMA circulars were withdrawn.
- **Non-resident bank rupee accounts (2 September):** certain reporting requirements were dispensed with.
- **Urban co-operative banks (2 September):** UCBs may now invest in IDPIC membership.

SEBI Approves New Portfolio Managers Regulations, 2026

What happened: At its board meeting on 24 September 2026, the Securities and Exchange Board of India approved new regulations for portfolio managers. The rulebook shrinks from 70 pages to 33.

Key changes include:

- Portfolio managers may invest in IPOs and primary debt issues.
- With client consent, up to 10% of client AUM may go into investment-grade unlisted non-convertible debt.
- Exposure to exchange-traded derivatives is allowed up to 1.25 times client AUM.
- A new route, PRIM, lets portfolio managers invest client money in mutual fund and SIF units: minimum ticket ₹25 lakh, investor net worth ₹2 crore, management fee capped at 1% of AUM, and no more than 25% in schemes of an affiliated AMC.
- A new category of Independent Fund Managers is created, and portfolio managers with AUM below ₹100 crore are exempt from the dealing-room requirement.

Who is affected: Portfolio managers, their clients and asset management companies.

Why it matters: PMS gains a wider investment universe and a regulated route into mutual funds.

SEBI Overhauls Settlement Proceedings

What happened: SEBI approved new Settlement Regulations, 2026. Key changes include:

- SEBI may issue a settlement notice before a show-cause notice, with 60 days to apply.
- The window to apply after a show-cause notice is extended from 60 to 90 days.
- Disclosure violations with a settlement amount of up to ₹10 lakh get a fast-track route.
- Cases of financial-statement misrepresentation and fund diversion can now be settled.
- Applying again after a rejection costs 20% more.
- Interest on disgorgement is 9% a year during Board proceedings and 12% thereafter.
- A one-time scheme, open for 90 days, covers illiquid stock option trading cases: ₹1.44 lakh for 1–5 contracts, ₹2.88 lakh for 6–50, and ₹7.20 lakh plus ₹14,400 per contract for 51 or more.

Why it matters: Entities can close enforcement matters earlier and at a more predictable cost.

FPIs Get Commodity Derivatives Access; Accredited Investor Rules Eased

What happened: SEBI also approved the following:

- **FPIs in commodities:** foreign portfolio investors may trade non-agricultural commodity index derivatives and non-cash-settled commodity contracts. They cannot add positions from T-3 and must exit before contract expiry.

- **Accredited investors:** non-resident persons, including FPIs, count as accredited investors. Thresholds are ₹5 crore of securities for individuals and ₹20 crore for corporates; accreditation is valid for three years.
- **REITs and InvITs:** depository receipts on their units are permitted.
- **Vault managers:** minimum net worth rises from ₹50 crore to ₹75 crore.
- **Advertising and research:** a common advertisement code allows celebrity endorsements with fewer prior approvals, and call-recording rules for research analysts are relaxed.

Why it matters: Commodity markets gain foreign liquidity, and REITs and InvITs get a new route to overseas investors.

Other SEBI Circulars in September

- **Commodity derivatives (9 September):** position limits and the related penalty provisions were revised.
- **Angel funds (7 September):** the timeline for angel fund investors to move to the Accredited Investor framework was extended to 31 March 2027.
- **FPIs in government securities (7 September):** FPIs investing only in G-Secs no longer need to provide investor-group details.
- **Mutual funds (3 September):** a consultation paper proposes net settlement of eligible mutual fund cash-market transactions.

Rule 96(10) Omission Covers All Pending IGST Refunds — CBIC Accepts Supreme Court Ruling

What happened: In Goodluck India Ltd. v. Union of India (6 August 2026), the Supreme Court held that the omission of Rule 96(10) of the CGST Rules, effective 8 October 2024, applies to every refund proceeding pending on that date, because the omission carried no saving clause. CBIC accepted the ruling in an Office Memorandum dated 24 August 2026.

Who is affected: Exporters who used advance authorisation or EPCG benefits and claimed IGST refunds.

Why it matters: Recovery demands for IGST refunds already paid, and refund claims held up under Rule 96(10), can now be challenged or withdrawn.

GSTN Makes emSigner v3.3 Mandatory for New DSC Tokens

What happened: From 21 September 2026, DSC USB tokens issued on or after that date need emSigner version 3.3 to sign on the GST portal. Existing DSCs remain valid until they expire.

Who is affected: Taxpayers and professionals who sign GST returns with a DSC, mainly companies and LLPs.

Why it matters: Installing the update before the October filings avoids signing failures close to due dates.

57th GST Council Meeting Moved to 7 October; Process Reforms on the Agenda

What happened: The 57th meeting of the GST Council, first scheduled for 12 September 2026, has been rescheduled to 7 October 2026 because of a clash with the BRICS Leaders' Summit. The officers' meeting will be held on 5–6 October in New Delhi. The Finance Minister said the meeting will focus only on process reforms.

Expected agenda items include:

- simpler registration for businesses with input tax credit above ₹2.5 lakh a month;
- automated cancellation of registrations;
- invoice filing and matching, input tax credit eligibility and refund procedures.

Why it matters: The outcome will shape compliance processes under GST 2.0 for the rest of FY2026-27. We will cover the decisions in our next edition.

Gross GST Collections Rise 14.8% to ₹1.99 Lakh Crore in August

What happened: Gross GST collections for August 2026 were about ₹1.99 lakh crore, up 14.8% year on year. Domestic revenue grew 9.3% to ₹1.37 lakh crore, and GST on imports rose 29% to ₹62,604 crore. Refunds jumped 68% to ₹31,795 crore, taking net collections to ₹1.68 lakh crore (up 8.3%). For April–August FY2026-27, gross collections stood at ₹10.43 lakh crore, up 11%.

Why it matters: The sharp rise in refunds shows faster processing, which helps exporters' working capital, while strong import-GST growth points to continued reliance on external sourcing.

Other Tax Developments

- **Taxation and Other Laws (Amendment) Act:** received Presidential assent on 17 August 2026. It amends the Income-tax Act, 2025 and the Finance Act, 2026, and repeals the Income-tax (Amendment) Ordinance of 5 June 2026.
- **CESTAT Kolkata:** licence fees paid by Odisha State Beverages Corporation to the State are not consideration for a service.
- **ITAT Delhi:** overseas-study scholarships paid from Indian funds did not disqualify a trust from charitable registration.
- **Delhi High Court:** employees are entitled to TDS credit even where the employer failed to deposit the tax with the government.
- **Delhi High Court:** input tax credit blocked under Rule 86A cannot be counted towards the pre-deposit required for a GST appeal.

Record 7.8 Crore Income-tax Returns Filed for AY 2026-27

What happened: The Income Tax Department reported that more than 7.8 crore returns were filed for AY 2026-27 by the 31 August 2026 due date for non-audit cases, including over 5.9 crore ITR-1 and ITR-2 returns filed by 31 July. Last year, about 7.3 crore returns had been filed by the extended date of 16 September 2025.

Why it matters: The base of filers keeps widening. Those who missed the due date can still file a belated return, with late fee and interest, by 31 December 2026.

Pre-filled Capital Gains: New SFT Reporting by Depositories and Mutual Fund RTAs

What happened: On 10 September 2026, the Income Tax Department notified procedures for two new Statements of Financial Transactions: SFT-2517 for depository (demat) transactions and SFT-2518 for mutual fund transactions reported by Registrar and Transfer Agents. The data will be used to pre-fill capital gains, income and loss details in income-tax returns, matching purchases and sales on a first-in, first-out basis.

Due dates: statements are to be filed by 31 October and 30 April for the respective periods.

Why it matters: Investors will see pre-filled capital gains in their returns and AIS, but remain responsible for checking and correcting cost, holding period and sale values before filing.

Consumer Protection (E-Commerce) Amendment Rules, 2026 Notified

What happened: The Consumer Affairs Ministry notified amendments to the e-commerce rules, effective 1 January 2027. Platforms must acknowledge consumer complaints within 48 hours and resolve them within one month. Where a discount is shown, the "prior price" must be the lowest price charged in the previous 30 days.

Who is affected: E-commerce marketplaces and sellers.

Why it matters: Platforms have about three months to update grievance systems and discount-display practices to avoid penalties under the Consumer Protection Act.

Other Compliance Updates

- **SEBI penalties:** PMC Projects (₹13.65 lakh, inter-corporate deposit violations), Investowryght Research (₹10 lakh, research analyst breaches) and Emami Realty (₹2 lakh, related-party approval lapses).
- **EPF investments:** the Labour Ministry amended the investment pattern to allow rupee bonds of international development banks with at least three years' maturity.
- **NRI re-KYC:** CDSL relaxed geo-tagging, so existing NRI clients no longer need to be physically in India for re-verification.

Update: Subhash Chandra's Repayment Plan Stalled Before Five-Member Bench

What happened: Our August edition reported NCLT's approval of the plan. A five-member NCLT Special Bench, chaired by Justice (retd) Anupinder Singh Grewal, then found "no clear majority view" among the original three members. It restrained Subhash Chandra from transferring assets on 1 September. On 23 September it put the plan on hold and gave the CBI four weeks to respond, after the CBI opened a fraud probe involving LIC Housing Finance.

Current position: NCLAT has kept the dissenting lenders' appeal pending, with the next hearing on 7 October 2026, and Chandra has separately challenged the asset restraint. The plan offers ₹6.25 crore against admitted claims of ₹22,006.57 crore. Creditors also dispute whether five entities holding 61.78% of the vote were properly admitted.

Why it matters: The outcome will test how far a creditor majority can bind dissenting lenders in personal-guarantor insolvency.

NCLT Mumbai: BMC's Statutory First Charge Survives a Liquidation Sale

What happened: NCLT Mumbai held that the Brihanmumbai Municipal Corporation's statutory first charge is not extinguished by a liquidation auction, so the purchaser is liable for outstanding municipal dues.

Why it matters: Bidders at liquidation auctions must price in municipal and property-tax arrears.

Other IBC and Company Law Rulings

- **NCLT Chennai:** the Tribunal has no jurisdiction over personal guarantors of foreign corporate debtors.
- **NCLT Mumbai:** a Tribunal cannot rewrite an operational creditor's case or alter the basic particulars of the default claimed.
- **Mergers:** NCLT Delhi sanctioned the merger of Sesa Care into Dabur India; NCLT Mumbai allowed the first motion for CIE Aluminium Casting's merger into CIE Automotive India; and NCLAT set aside NCLT's first-motion rejection of the HNPCL–GOCL merger as premature.
- **SpiceJet:** the seven remaining lessor petitions await a fresh hearing before the regular Delhi bench, with no new order reported in September.

EPFO Wage Ceiling Raised from ₹15,000 to ₹25,000 a Month

What happened: On 16 September 2026, the Union Cabinet approved raising the wage ceiling for mandatory EPF coverage from ₹15,000 to ₹25,000 a month, the first revision since September 2014. More than 51 lakh additional employees earning between ₹15,000 and ₹25,000 will be covered for provident fund (EPF), pension (EPS) and insurance (EDLI) benefits. The government estimates the cost at ₹11,339 crore a year.

Who is affected: All establishments covered by EPFO, and employees in the ₹15,000–₹25,000 wage band.

Why it matters: Employer PF and pension contributions will rise for employees in this band, and take-home pay may fall where the employee share increases. Payroll teams should update systems and confirm the effective date from EPFO's operational instructions before processing the next ECR.

Labour Codes: 10 States Have Notified Rules; Rest Targeted by 31 October

What happened: On 24 September 2026, Labour Secretary Chandra Bhushan Kumar said 10 states have notified their Labour Code rules. The remaining states and Union Territories have published draft rules for consultation, and the Centre hopes all will be final by 31 October 2026.

Who is affected: Employers, particularly those operating in more than one state.

Why it matters: Once state rules are final, the "50% wage rule", gratuity for fixed-term employees and two-day full-and-final settlement will apply uniformly. Payroll and HR policy changes should be completed before then.

Retail Inflation Rises to 4.82% in August, Narrowing Room for Rate Cuts

What happened: Data released on 14 September 2026 show consumer price inflation rose to 4.82% in August from 4.45% in July. Food inflation was 5.95%, and rural inflation (5.23%) ran ahead of urban inflation (4.31%). Personal care goods (15.17%) and restaurant and accommodation services (8.38%) saw the sharpest increases.

Why it matters: With inflation moving closer to 5%, room for further repo rate cuts has narrowed. Borrowers should not plan on lower EMIs in the near term, and depositors may see fixed-deposit rates hold steady.

Markets Under Pressure: FPIs Pull ₹20,974 Crore; Rupee at Record Low

What happened: Foreign portfolio investors withdrew ₹20,974 crore from Indian equities in September up to the 18th, taking 2026 outflows to ₹2.45 lakh crore, well above the ₹1.66 lakh crore withdrawn in all of 2025. They also sold about ₹13,000 crore of debt. The rupee hit a record low near 96 per dollar. On 28 September, the Sensex fell 1,124 points (1.5%) to 72,771.72 and the Nifty closed at 22,780.25, with PSU bank stocks down 3%.

Why the selling: Brent crude above $100 a barrel amid the West Asia conflict, higher US interest rates narrowing the India–US yield gap, and caution before the RBI's October policy.

Why it matters: A weaker rupee raises import costs and foreign-currency loan repayments. Importers and businesses with unhedged foreign exposures should review their hedging.

THE BOTTOM LINE

SEPTEMBER 2026

Economy Quick Bytes

- **Exports:** total exports reached $82.68 billion in August 2026, up 25.4% year on year, led by electronics, petroleum products and engineering goods.
- **Jobs:** the labour force survey for August put the unemployment rate at 5.0% (rural 4.1%) and labour force participation at 55.6%.
- **Semiconductors:** SEMICON India 2026 (17–19 September) drew 56 announcements with investment commitments of about ₹1 lakh crore over the next two to three years.
- **Electronics components:** the government has sanctioned 106 projects across 15 states under the Electronics Components Manufacturing Scheme, with ₹69,548 crore of committed private investment; 38 plants are already producing.
- **Other digital payments (August):** IMPS handled 360 million transactions worth ₹7.04 lakh crore, FASTag 351 million and AePS 104 million.
- **Precious metals:** silver jewellery prices in the CPI basket were up 107% year on year in August, reflecting the rally in bullion.

Looking Ahead: Key Events in October 2026

- **5–7 October:** RBI Monetary Policy Committee meeting; with August inflation at 4.82%, the repo rate (5.25%) is widely expected to be held.
- **7 October:** 57th GST Council meeting on process reforms; NCLAT hearing in the Subhash Chandra personal insolvency appeal.
- **15 October:** 0.4% MDR on person-to-merchant UPI payments above ₹2,000 takes effect.
- **21 October:** extended due date for tax audit reports for AY 2026-27.
- **31 October:** target date for all states to notify Labour Code rules; SFT-2517/2518 statements due.

Action Checklist for October

- **Tax audit cases:** finalise Form 3CD by 21 October and plan ITR filing before 21 November; track CBDT's formal notification on the extension.
- **UPI collections:** list high-value UPI receipts above ₹2,000, estimate the 0.4% MDR cost, and check whether your business qualifies for the small-merchant exemption.
- **Payroll:** identify employees earning ₹15,000–₹25,000, update PF settings for the new wage ceiling, and review CTC structures against the Labour Codes' 50% wage rule.
- **GST:** reconcile ITC with supplier filings, install emSigner v3.3 if using a new DSC, and review any IGST refund demands based on Rule 96(10).
- **Treasury:** review foreign-currency exposures given the weak rupee, and compare daily bulk deposit rates now published by banks.

DATES TO REMEMBER

7 OCT 2026

Compliance - TDS/TCS deposit for tax deducted/collected in September 2026
Applicable to - All persons deducting/collecting TDS/TCS

10 OCT 2026

Compliance - GSTR-7 (TDS under GST) and GSTR-8 (TCS by e-commerce operators) for September 2026
Applicable to - GST TDS deductors; e-commerce operators

11 OCT 2026

Compliance - GSTR-1 for September 2026 (monthly filers)
Applicable to - Regular GST taxpayers filing monthly

13 OCT 2026

Compliance - GSTR-1 for Jul–Sep quarter (QRMP); GSTR-6 and GSTR-5 for September 2026
Applicable to - QRMP taxpayers; ISDs; non-resident taxable persons

15 OCT 2026

Compliance - EPF/ESI contribution payment and ECR filing for September 2026 wages
Applicable to - All employers registered under the EPF, ESI & MP Act (as applicable)

15 OCT 2026

Compliance - Quarterly TCS statement (Form 27EQ) for Jul–Sep 2026; ADT-1 within 15 days of AGM
Applicable to - Tax collectors; companies that held their AGM

20 OCT 2026

Compliance - GSTR-3B for September 2026 (monthly filers)
Applicable to - Regular GST taxpayers filing monthly

21 OCT 2026

Compliance - Tax Audit Report (Form 3CA-3CD/3CB-3CD) for AY 2026-27 — extended from 30 Sept
Applicable to - Businesses/professionals exceeding tax-audit thresholds

22/24 OCT 2026

Compliance - GSTR-3B for Jul–Sep 2026 quarter (date depends on state)
Applicable to - Taxpayers under the QRMP scheme

29 OCT 2026

Compliance - AOC-4 (financial statements) within 30 days of an AGM held on 30 Sept 2026
Applicable to - All companies (OPCs: 180 days from year-end)

31 OCT 2026

Compliance - TDS returns for Q2 FY2026-27 (Forms 24Q, 26Q, 27Q)
Applicable to - All TDS deductors

31 OCT 2026

Compliance - Form 3CEB transfer-pricing report for AY 2026-27
Applicable to - Entities with international/specified domestic transactions

Brain Break

A short pause before next month's edition.

Find all 15 terms below – hidden across, down, diagonally, and occasionally backwards.

P	O	R	T	F	O	L	I	O	K	F	C	Y	D	R
M	T	K	Y	C	V	M	M	R	T	O	R	L	E	E
R	A	D	Y	R	L	L	E	I	O	G	K	A	M	X
T	X	F	E	U	E	G	F	P	T	F	A	B	J	P
W	A	A	I	R	R	F	E	P	R	W	N	O	C	O
L	U	I	J	E	I	R	U	E	R	K	O	U	P	R
I	D	W	M	H	A	V	F	N	S	K	R	R	E	T
Q	I	W	L	T	U	B	A	I	D	O	S	C	I	E
U	T	L	I	A	T	B	R	T	T	F	S	O	W	R
I	D	V	O	E	A	T	K	N	I	G	S	D	E	N
D	E	G	R	S	E	G	A	W	T	V	N	E	A	S
A	B	Y	E	K	L	R	P	L	B	L	E	M	O	N
T	V	L	R	G	A	S	D	F	T	C	L	S	I	H
O	P	A	R	U	T	N	E	M	E	L	T	T	E	S
R	M	F	G	E	M	S	I	G	N	E	R	R	A	W

Words to find:

SETTLEMENT • PORTFOLIO • DERIVATIVES • TAXAUDIT • REFUND • EXPORTER • BASEL • MARKETRISK • GUARANTOR • LIQUIDATOR • MERGER • LABOURCODE • EMSIGNER • KYC • COOPERATIVE

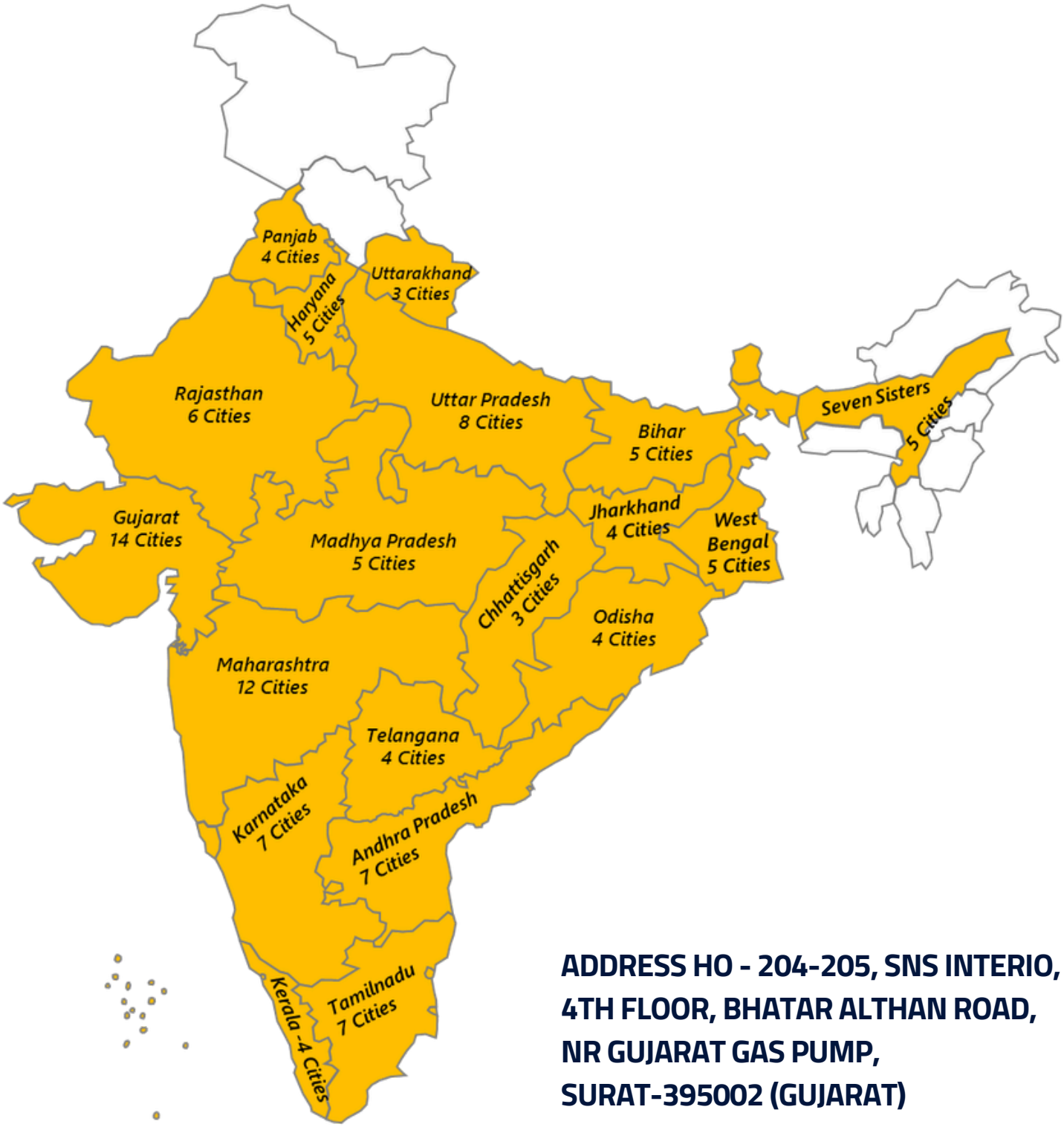
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